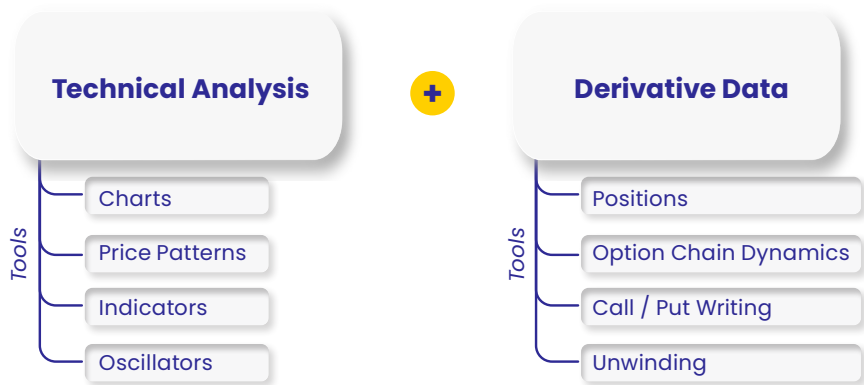


Process and Steps to Follow to Buy and Sell Options

Let us discuss the fundamental framework for trading options. It applies in every situation you will encounter on options.

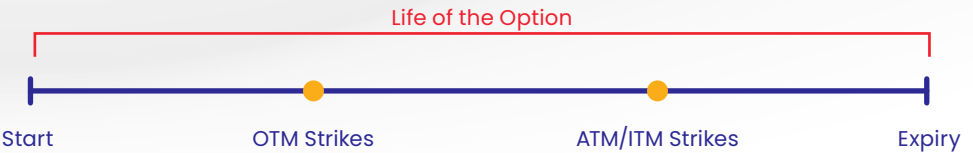
Option buying

When buying options, you must have a clear market view. It could be bullish, bearish, range-bound, or volatile.



I suggest combining technical analysis with derivative data to determine the market view. Technical analysis involves analysing charts, price patterns, indicators, and oscillators. On the other hand, derivative data considers open interest positions, option chain dynamics, call/put writing, and unwinding. It can provide insights into options pricing.

After establishing the market outlook, you must decide whether to buy a call or a put. The choice depends on momentum. Without momentum, premiums may not increase due to theta decay. Precision is critical in option buying due to its lower probability (33.33% or 1/3) of success.



Your strike selection strategy should be picking OTM strikes early (when premiums are high). You can shift to ATM strikes or ITM strikes as the expiry nears. Defining the entry, stop-loss, and exit points is as crucial as selecting strikes.